ACF · Financial statements, adjustments and notes — Question Patterns and Methods

Based on 13 past-exam parts, 6 years (2020–2025), their marking keys and the examiners' reports.

First: where marks are lost most

- The examiners' report named Question 19, the statement of comprehensive income, among the most challenging parts of Section Two, so full layout and every line item decide the marks (patterns 1 and 3).
- Each income, expense, discount and returns item is a separate award in the key; one omitted line (for example discount allowed, dividends received or doubtful debts) costs a mark (pattern 1).
- Depreciation loses marks when the rate is applied without the period fraction, or when opening accumulated depreciation is left out of the closing figure (patterns 3 and 8).
- Tax is applied to the wrong profit-before-tax figure, or the 30% rate is missed (pattern 5).
- The revaluation gain is shown in only one of the two places it belongs, either the comprehensive income statement or the asset line (pattern 6).
- Balance-day items are placed on the wrong side of the statement of financial position: prepayments as liabilities, or accrued income outside receivables (patterns 2 and 9).

Pattern 1: Prepare profit and comprehensive income

How often: 3/6 papers · 9.3 marks when it appears · 2.0% of a paper.

Recognise it: a request to prepare the statement of comprehensive income for a company over a stated period, with a list of sales, returns, discounts, cost of sales, other income and expenses. The answer is one statement in a single-statement format, and the period may be unusual (for example six months or two months).

Method

1. Head the statement with the company name, the statement title and the exact period.
2. Start with sales revenue, then deduct sales returns and discount allowed where they are given.
3. Deduct cost of sales to reach the gross result.
4. Add each income item given (interest income, dividends received, rent received, other income).
5. Deduct each expense item given (wages, finance expenses, doubtful debts, other expenses, insurance, electricity and similar items).
6. Include any depreciation from pattern 3 and any revaluation gain from pattern 6 in the correct place.
7. Work down to profit before tax, then apply tax if asked (pattern 5), and show profit or total comprehensive income.
8. Tick off every figure in the question once.

What the key rewards: one mark for each correctly used item, in the order the figures appear in the question: sales, sales returns, discount allowed, cost of sales, each income item, each expense item, and the profit line.

Common errors: the examiners' report named Question 19 (the statement of comprehensive income) among the most challenging questions; students omit single items (discount allowed, dividends, doubtful debts, finance expenses), place returns or discounts on the wrong line, or fail to carry the profit correctly to the bottom line.

Past questions: 2024 SA Q19(a), 2022 SA Q20(a), 2020 SA Q19(b)

Pattern 2: Prepare and classify the financial position

How often: 2/6 papers · 9.0 marks when it appears · 1.3% of a paper.

Recognise it: a request for an extract of the assets (or liabilities or equity) section of the statement of

financial position at a date. The list mixes current and non-current items, and some items must be netted off, such as doubtful-debt allowances or accumulated depreciation.

Method

1. Head the extract with the company name, "Statement of financial position (extract)" and the date.
2. Sort each item into current or non-current assets, following the wording of the question.
3. For receivables, take the gross amount, deduct the doubtful-debt allowance, and show the net figure.
4. Add accrued income to receivables and prepayments to other current assets (see pattern 9).
5. For non-current assets, show cost less accumulated depreciation to give the carrying amount; add any revaluation to the asset's value.
6. Show intangibles such as goodwill and other intangibles in the non-current section.
7. Show cash and cash equivalents, inventories and any term deposit as the question classifies them.
8. Check each figure against the list and subtotal each section.

What the key rewards: one mark for each correctly placed item, for example the net receivables after the allowance, cash, inventories, property, plant and equipment, goodwill and the term deposit.

Common errors: forgetting to deduct the doubtful-debt allowance, leaving out accumulated depreciation so the asset is shown at cost, or missing a balance-day item inside other current assets.

Past questions: 2024 SA Q19(c), 2022 SA Q20(b)

Pattern 3: Calculate depreciation for the reporting period

How often: 4/6 papers · 4.8 marks when it appears · 1.4% of a paper.

Recognise it: a depreciation rate (a percentage) applied to an asset's cost or carrying amount, with a time fraction such as six months or two months. The answer feeds the expense in the statement of comprehensive income and the accumulated depreciation in the notes or assets section.

Method

1. Identify the cost of each asset and the stated rate, for example building cost and the building rate, and motor-vehicle cost and its rate.
2. Apply the rate to the correct base: cost for straight-line, carrying amount for reducing-balance.
3. Apply the period fraction for the reporting period (for example 6/12 for six months, 2/12 for two months).
4. Round to the nearest dollar, as the key shows.
5. Carry the charge to the statement of comprehensive income as an expense.
6. Add the charge to opening accumulated depreciation and carry the closing figure to the notes or assets section.
7. Keep each asset class separate.

What the key rewards: one mark each for using the correct cost, applying the correct rate, applying the correct period, deducting accumulated depreciation where required, and carrying the figure to the notes or statement.

Common errors: applying the full-year rate to a part-year period, using cost where carrying amount is needed, or leaving out opening accumulated depreciation in the closing figure. The key awards these steps separately, so each omission costs a mark.

Past questions: 2024 SA Q19(a), 2024 SA Q19(b), 2022 SA Q20(a), 2022 SA Q20(b), 2021 SA Q17(a), 2020 SA Q19(b)

Pattern 4: Calculate doubtful debts through the allowance

How often: 1/6 papers · 3.0 marks when it appears · 0.2% of a paper.

Recognise it: an opening allowance for doubtful debts, bad debts written off during the year, and a required closing allowance. The question asks for the doubtful debts expense.

Method

1. Write the opening allowance balance in the allowance ledger.
2. Record bad debts written off as a debit to the allowance, which reduces it.
3. Enter the required closing allowance.
4. Use the reconciliation: closing allowance = opening allowance + doubtful debts expense − bad debts written off. Solve for the expense: expense = closing − opening + bad debts written off.
5. Show the expense in the statement of comprehensive income.

What the key rewards: one mark each for recording the bad debts in the allowance ledger, using the opening balance, and using the closing balance.

Common errors: missing one of the three awards, that is leaving the bad debts out of the allowance ledger, or not using the opening or closing allowance balance.

Past questions: 2020 SA Q19(b)

Pattern 5: Calculate income tax and after-tax profit

How often: 4/6 papers · 2.2 marks when it appears · 0.7% of a paper.

Recognise it: a profit-before-tax figure and a stated tax rate (30% in these papers). The question asks for income tax expense and sometimes for profit after tax, which is the profit before tax less tax, or 70% of it.

Method

1. Take the correct profit before tax, after all other income and expenses in the question.
2. Multiply by the stated tax rate to find the income tax expense.
3. Show the tax expense in the statement of comprehensive income.
4. Profit after tax = profit before tax − tax expense, which equals profit before tax × 70%.
5. Carry the after-tax figure to the ratio or statement that needs it.

What the key rewards: one mark each for using the correct profit before tax, applying the 30% rate, calculating the after-tax profit, and carrying the result through.

Common errors: missing one of the tax awards, that is using a profit-before-tax figure other than the one in the question, or omitting the 30% rate.

Past questions: 2024 SA Q19(a), 2022 SA Q19(a), 2022 SA Q19(b), 2022 SA Q20(a), 2021 SA Q17(a), 2020 SA Q19(b)

Pattern 6: Calculate and present revaluation gains

How often: 3/6 papers · 1.7 marks when it appears · 0.4% of a paper.

Recognise it: an asset, usually land, with a stated market or fair value different from its carrying amount. The question asks for the revaluation gain and its presentation in the comprehensive income statement and the assets section.

Method

1. Identify the carrying amount (the cost or prior carrying amount given) and the specified asset value.
2. Revaluation gain = specified asset value − carrying amount.
3. Include the gain in other comprehensive income, below profit, in the statement of comprehensive income.
4. Add the revaluation to the asset in the statement of financial position.
5. Check that the same gain appears in both places and in the notes if they are asked for.

What the key rewards: one mark each for using the specified value (not the wrong basis), for showing the gain in comprehensive income, and for adding the revaluation to the asset.

Common errors: measuring the gain against the wrong figure, putting the gain in profit rather than comprehensive income, or adding the gain to the asset without including it in comprehensive income (or the

reverse).

Past questions: 2024 SA Q19(a), 2022 SA Q20(a), 2022 SA Q20(b), 2020 SA Q19(b)

Pattern 7: Identify and explain financial statements

How often: 1/6 papers · 4.0 marks when it appears · 0.3% of a paper.

Recognise it: an extended-answer question asking the role of ASIC in regulating and influencing company financial reporting, and which financial statements a named company must prepare under the Conceptual Framework.

Method

1. Explain ASIC's role: it regulates and influences general purpose financial reporting by companies in Australia, and this shapes what companies must prepare and disclose.
2. Name the first statement a company must prepare, from the general purpose set (for example the statement of comprehensive income, the statement of financial position, the statement of changes in equity or the statement of cash flows).
3. Outline what that statement tells users.
4. Name a second statement and outline its information.
5. Link each statement to the company named in the question.

What the key rewards: one mark for each relevant financial statement identified, and a further mark for each outline, as the key shows; a single identification earns one mark.

Common errors: naming a statement without outlining what it tells the user, since identifying it alone earns only 1 mark.

Past questions: 2025 EA Q22(d)

Pattern 8: Prepare property, plant and equipment notes

How often: 2/6 papers · 6.0 marks when it appears · 0.9% of a paper.

Recognise it: a request for notes to the accounts on property, plant and equipment, showing cost or revalued amount, accumulated depreciation and movements for each class. Some questions also ask for notes on share capital, reserves and dividends.

Method

1. Head the notes with "Notes to the accounts (extract)" and the date.
2. For each asset class (land, buildings, motor vehicles, furniture and fittings, plant and equipment), show the cost at the start of the period.
3. Add any revaluation to the land or other class after the cost line.
4. Show opening accumulated depreciation, the period's depreciation (from pattern 3) and the closing accumulated depreciation.
5. Show the carrying amount = cost (or revalued amount) − closing accumulated depreciation.
6. Total the classes and keep each class separate.

What the key rewards: one mark for each correct figure in the notes, including cost, the revaluation added, the opening accumulated depreciation and each asset class shown.

Common errors: not adding the revaluation to the land figure, using the period's depreciation as the closing accumulated depreciation without the opening balance, or omitting an asset class.

Past questions: 2024 SA Q19(b), 2021 SA Q19(b)

Pattern 9: Apply balance-day and expense classifications

How often: 3/6 papers · 1.3 marks when it appears · 0.3% of a paper.

Recognise it: a balance-day adjustment or an expense-classification question, often multiple choice. It asks whether an item is an expense, prepayment, accrued expense, accrued income or income in advance, and

how it is shown in the statement of financial position.

Method

1. Ask whether cash has been paid or received, and whether the good or service has been provided.
2. Paid but not yet used: prepayment, an asset.
3. Used but not yet paid: accrued expense, a liability.
4. Earned but not yet received: accrued income, shown in receivables.
5. Received but not yet earned: income in advance, a liability.
6. Incorporation (preliminary) costs are expensed, as the key for the 2024 multiple-choice question shows.
7. Read each multiple-choice option against this framework and choose the one that matches both the asset or liability and its name.

What the key rewards: one mark for the correct option in each multiple-choice item; for the short-answer part, one mark each for adding accrued income to receivables and for including prepayments in other current assets.

Common errors: calling a prepayment a liability, confusing income in advance with accrued income, or leaving accrued income out of receivables.

Past questions: 2024 MC Q15, 2022 SA Q20(b), 2021 MC Q7